

Amendment No. 1 to HB2175

Vaughan
Signature of Sponsor

AMEND Senate Bill No. 2458

House Bill No. 2175*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 55, Chapter 12, Part 1, is amended by adding the following as a new section:

55-12-143.

(a) As used in this section:

(1) "Delivery availability period" means the period when a DNC driver:

(A) Is operating a personal vehicle;

(B) Has logged on to a digital network and is available to receive requests to provide delivery services from a delivery network company; and

(C) Is not providing delivery services or operating in the delivery service period;

(2) "Delivery network company" or "DNC" means a business entity operating in this state that uses a digital network to connect a delivery network company customer to a delivery network driver to provide delivery services. A DNC is not deemed to control, direct, or manage the personal vehicles or delivery network drivers that connect to its digital network, except where agreed to by written contract;

(3) "Delivery service":

(A) Means the pickup of one (1) or more products from a location and the delivery of the products to a DNC customer, including a series of deliveries to different customers; and

(B) Does not include:

(i) Services provided by a for-hire vehicle; or

(ii) A street hail service;

(4) "Delivery service period" means the period:

(A) Beginning when a DNC driver starts operating a personal vehicle enroute to pick up a good for a delivery or series of deliveries as documented via a digital network controlled by a delivery network company;

(B) Continuing while the driver transports the requested deliveries; and

(C) Ending upon delivery of the requested goods to:

(i) The customer, or the last customer in a series of deliveries;

(ii) A location designated by the customer, or the last location designated in a series of deliveries; or

(iii) A location designated by the delivery network company, including for purposes of returning the goods;

(5) "Digital network" means an online-enabled application, software, website, or system offered or utilized by a delivery network company that enables deliveries with DNC drivers;

(6) "DNC customer" or "customer" means an individual who uses a DNC's digital network to connect with a DNC driver to obtain delivery services from the driver for the individual, or for another individual or entity;

(7) "DNC driver" or "driver" means an individual who provides delivery services through a DNC's digital network using a personal vehicle; and

(8) "Personal vehicle" means a vehicle that is:

(A) Used by a delivery network driver to provide delivery services via a digital network; and

(B) Owned, leased, or otherwise authorized for use by the delivery network driver.

(b) On and after July 1, 2026, a delivery network company or DNC driver shall comply with the automobile liability insurance requirements of this section.

(c) A delivery network company shall ensure that, during the delivery availability period, if it applies, and during the delivery service period, primary automobile liability insurance is in place that recognizes that the driver is a DNC driver or that does not exclude coverage for use of a personal vehicle to provide deliveries.

(d) During the delivery availability period and the delivery service period, the DNC driver, delivery network company, or a combination of the two (2), shall maintain insurance that insures the driver for liability to third parties of not less than fifty thousand dollars (\$50,000) for damages arising out of bodily injury sustained by any one (1) person in an accident, of not less than one hundred thousand dollars (\$100,000) for damages arising out of bodily injury sustained by all persons injured in an accident, and of not less than twenty-five thousand dollars (\$25,000) for all damages arising out of damage to or destruction of property in an accident.

(e) The coverage requirements of this section may be satisfied by any of the following:

- (1) Automobile liability insurance maintained by the driver;
- (2) Automobile liability insurance maintained by the DNC; or
- (3) Any combination of subdivision (e)(1) or (e)(2).

(f) If the insurance coverage maintained by a driver pursuant to this section has lapsed or does not provide the required coverage, then insurance maintained by the delivery network company must provide the coverage required by this section beginning with the first dollar of a claim, and the issuer of the insurance maintained by the delivery network company has a duty to defend the claim.

(g) Coverage under an automobile insurance policy maintained by the delivery network company must not be dependent upon another motor vehicle liability:

- (1) Insurer first denying a claim; or
- (2) Insurance policy first denying a claim.

(h) Insurance required by this section may be obtained from an insurer authorized to do business in this state or with a surplus lines insurer eligible under the Surplus Lines Insurance Act, compiled in title 56, chapter 14.

(i) Insurance required by this section satisfies the Tennessee Financial Responsibility Law of 1977, compiled in title 55, chapter 12, while a driver is logged into the delivery network company's digital network or while the driver is engaged in providing delivery services through the DNC's digital network; provided, that this section does not relieve a driver from the financial responsibility requirements for a motor vehicle under the Tennessee Financial Responsibility Law of 1977 when the driver is neither logged into the DNC's digital network nor providing delivery services through the DNC's digital network.

SECTION 2. Tennessee Code Annotated, Title 56, Chapter 7, is amended by adding the following as a new part:

56-7-3901.

As used in this part:

- (1) "Delivery availability period" means the period when a DNC driver:
 - (A) Is operating a personal vehicle;

(B) Has logged on to a digital network and is available to receive requests to provide delivery services from a delivery network company; and

(C) Is not providing delivery services or operating in the delivery service period;

(2) "Delivery network company" or "DNC" means a business entity operating in this state that uses a digital network to connect a delivery network company customer to a delivery network driver to provide delivery services. A DNC is not deemed to control, direct, or manage the personal vehicles or delivery network drivers that connect to its digital network, except where agreed to by written contract;

(3) "Delivery service":

(A) Means the pickup of one (1) or more products from a location and the delivery of the products to a DNC customer, including a series of deliveries to different customers; and

(B) Does not include:

(i) Services provided by a for-hire vehicle; or

(ii) A street hail service;

(4) "Delivery service period" means the period:

(A) Beginning when a DNC driver starts operating a personal vehicle enroute to pick up a good for a delivery or series of deliveries as documented via a digital network controlled by a delivery network company;

(B) Continuing while the driver transports the requested deliveries; and

(C) Ending upon delivery of the requested goods to:

(i) The customer, or the last customer in a series of deliveries;

(ii) A location designated by the customer, or the last location designated in a series of deliveries; or

(iii) A location designated by the delivery network company, including for purposes of returning the goods;

(5) "Digital network" means an online-enabled application, software, website, or system offered or utilized by a delivery network company that enables deliveries with DNC drivers;

(6) "DNC customer" or "customer" means an individual who uses a DNC's digital network to connect with a DNC driver to obtain delivery services from the driver for the individual, or for another individual or entity;

(7) "DNC driver" or "driver" means an individual who provides delivery services through a DNC's digital network using a personal vehicle; and

(8) "Personal vehicle" means a vehicle that is:

(A) Used by a delivery network driver to provide delivery services via a digital network; and

(B) Owned, leased, or otherwise authorized for use by the delivery network driver.

56-7-3902.

(a) An insurer that writes automobile liability insurance in this state may exclude any and all coverage and the duty to defend or indemnify for any loss or injury that occurs during the delivery availability period and the delivery service period. The right to exclude coverage and the duty to indemnify and defend may apply to any coverage included in an automobile liability insurance policy, including:

(1) Liability coverage for bodily injury and property damage;

(2) Uninsured and underinsured motorist coverage;

- (3) Medical payments coverage;
- (4) Comprehensive physical damage coverage; and
- (5) Collision physical damage coverage.

(b) This section does not invalidate or limit an exclusion contained in a motor vehicle liability insurance policy, including any insurance policy in use or approved for use that excludes coverage for motor vehicles used for delivery or for any business use.

(c) This section does not invalidate, limit, or restrict an insurer's ability under existing law to underwrite an insurance policy, or to cancel or not renew a policy.

(d) A motor vehicle liability insurer that defends or indemnifies a claim against a delivery network driver that is excluded under the terms of its policy may seek recovery against the insurer providing coverage under § 55-12-143 if the claim:

- (1) Occurs during the delivery availability period or the delivery service period; and
- (2) Is excluded under the terms of its policy.

(e) In a claims coverage investigation, a DNC or its insurer shall cooperate with all insurers that are involved in the claims coverage investigation to facilitate the exchange of information and shall immediately provide, upon request by directly involved parties or any insurer, the precise times that a delivery network driver began and ended the delivery availability period or the delivery service period on the delivery network company's digital network in the twelve-hour period immediately preceding the accident and in the twelve-hour period immediately following the accident. An insurer providing the coverage required by § 55-12-143 must disclose, upon request by another insurer involved in the particular claim, the applicable coverages, exclusions, and limits provided under any automobile insurance maintained in order to satisfy the requirements of this section.

(f) The insurer of a DNC providing coverage under § 55-12-143 must assume primary liability for a claim when a dispute exists as to when the delivery availability

period or the delivery service period began or ended and the DNC does not have available, did not retain, or fails to provide the information required by subsection (e).

SECTION 3. Tennessee Code Annotated, Title 65, Chapter 15, is amended by adding the following as a new part:

65-15-401.

As used in this part:

(1) "Delivery availability period" means the period when a DNC driver:

(A) Is operating a personal vehicle;

(B) Has logged on to a digital network and is available to receive requests to provide delivery services from a delivery network company; and

(C) Is not providing delivery services or operating in the delivery service period;

(2) "Delivery network company" or "DNC" means a business entity operating in this state that uses a digital network to connect a delivery network company customer to a delivery network driver to provide delivery services. A DNC is not deemed to control, direct, or manage the personal vehicles or delivery network drivers that connect to its digital network, except where agreed to by written contract;

(3) "Delivery service":

(A) Means the pickup of one (1) or more products from a location and the delivery of the products to a DNC customer, including a series of deliveries to different customers; and

(B) Does not include:

(i) Services provided by a for-hire vehicle; or

(ii) A street hail service;

(4) "Delivery service period" means the period:

(A) Beginning when a DNC driver starts operating a personal vehicle enroute to pick up a good for a delivery or series of deliveries as documented via a digital network controlled by a delivery network company;

(B) Continuing while the driver transports the requested deliveries; and

(C) Ending upon delivery of the requested goods to:

(i) The customer, or the last customer in a series of deliveries;

(ii) A location designated by the customer, or the last location designated in a series of deliveries; or

(iii) A location designated by the delivery network company, including for purposes of returning the goods;

(5) "Digital network" means an online-enabled application, software, website, or system offered or utilized by a delivery network company that enables deliveries with DNC drivers;

(6) "DNC customer" or "customer" means an individual who uses a DNC's digital network to connect with a DNC driver to obtain delivery services from the driver for the individual, or for another individual or entity;

(7) "DNC driver" or "driver" means an individual who provides delivery services through a DNC's digital network using a personal vehicle; and

(8) "Personal vehicle" means a vehicle that is:

(A) Used by a delivery network driver to provide delivery services via a digital network; and

(B) Owned, leased, or otherwise authorized for use by the delivery network driver.

65-15-402.

A delivery network company shall disclose in writing to a DNC driver the following before a driver is allowed to accept a request for delivery services on the DNC's digital network:

(1) The insurance coverage and limits for each coverage that the DNC provides while the DNC driver uses a motor vehicle in connection with a DNC's digital network; and

(2) That the DNC driver's own insurance policy may not provide coverage during the delivery availability period and the delivery service period.

65-15-403.

A delivery network company is not deemed to own, control, operate, or manage the motor vehicles used by drivers.

65-15-404.

A delivery network company service begins when a driver accepts a request for delivery services received through the DNC's digital network or software application, continues while the driver transports the products or goods in the driver's motor vehicle, and ends upon delivery of the requested goods to:

(1) The customer, or the last customer in a series of deliveries;

(2) A location designated by the customer, or the last location designated in a series of deliveries; or

(3) A location designated by the delivery network company, including for purposes of returning the goods.

SECTION 4. This act takes effect July 1, 2026, the public welfare requiring it.